

NHPC Ltd

NHPC | Energy

ROE	ROCE	OPM
10.4%	8.4%	49.9%
D/E Ratio	Interest Coverage	EPS
0.84	11.2x	■4.00

5-Year Financial Trend

Year	Revenue (Cr)	Net Profit (Cr)
2024-03	■9,632	■4,028
2023-03	■10,607	■4,261
2022-03	■9,144	■3,774
2021-03	■9,648	■3,600
2020-03	■10,008	■3,345

Cash Flow Intelligence

Metric	Value
CFO Quality	High Quality
CapEx Intensity	Capital Intensive
Capital Allocation	Self-Sufficient Growth
FCF 5Y CAGR	256.6%
Distress Flag	No

✓ Investment Strengths (Pros)

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Profits growing faster than revenue shows improving operating leverage and scale benefits

■ Investment Concerns (Cons)

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum